

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

COSCO SHIPPING LINES CO., LTD.

Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDS GLOBAL SCL ASIA
PACIFIC PTE LTD, AND SAMSUNG ELECTRONICS LOGITECH COMPANY, LIMITED

Third-Party Respondents.

**THIRD-PARTY RESPONDENT SAMSUNG SDS ASIA PACIFIC PTE LTD. S/H/A
SAMSUNG SDS GLOBAL SCL ASIA PACIFIC PTE LTD.'S REPLY TO
RESPONDENT'S OPPOSITION TO THE MOTION TO DISMISS THE THIRD-PARTY
COMPLAINT**

HOHENSTEIN & PARKINSON, LLP
James H. Hohenstein
385 South End Avenue, #5K
New York, NY 10280
Telephone: (917) 873-2528
jim.hohenstein@hplawny.com

*Counsel to Samsung SDS Asia Pacific Pte
Ltd., s/h/a Samsung SDS Global SCL Asia
Pacific PTE Ltd.*

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PRELIMINARY STATEMENT

Third-Party Respondent Samsung SDS Asia Pacific Pte Ltd, sued here as Samsung SDS Global SCL Asia Pacific PTE Ltd. (“SDS”), by its undersigned attorneys, respectfully submits this Reply to Third-Party Complainant COSCO Shipping Lines Co., Ltd.’s (“COSCO”) Opposition (“COSCO Opp.”)(Doc. No. 69) to SDS’s Motion to Dismiss the Third-Party Complaint for failure to state a claim upon which relief can be granted (“SDS Mot.”)(Doc. 44).¹

INTRODUCTION

The procedural background of this matter is set forth in the SDS Motion which also details the fundamental deficiencies of the Third-Party Complaint. COSCO’s Opposition does nothing to cure those deficiencies; rather, it continues to rely on upon non-specific and wholly unsupported claims that a group of “Samsung entities” acted together “via a scheme of deception and concealment” to obtain reduced rates and charges in violation of 46 U.S.C. §41102(a). This group, including SDS, SEC, Logitech and SEA² “carried out their scheme in tandem,” and, COSCO repeatedly claims, each company acted as agent for the others to carry out the “scheme.” (COSCO Opp. at 7 and 21.)

COSCO’s sweeping and unfounded allegations bring to mind an apt quotation from the U.S. Court of Appeals for the First Circuit: “Because courts occupy a special place in our democracy, they must be especially careful not to succumb to the merchants of conjecture. Consequently, they must deal in facts as opposed to suspicions, and in plausible inferences as opposed to speculative suppositions.” *National Amusements, Inc. v. Town of Dedham*, 43 F.3d

¹ In its Opposition, COSCO refers to SDS as a corporation “organized and existing under the laws of South Korea.” (COSCO Opp. at 11.) This is presumably a “scrivener’s error” as the Third-Party Complaint refers to SDS, correctly, as a Singapore corporation (TPC ¶¶ 3, 16).

² SDS incorporates the abbreviations delineated in its Motion.

731, 744 (1st Cir. 1995). Although *National Amusements* concerned a summary judgment motion (*Id.* at 749), the logic of the court’s observation applies with equal force here.

BACKGROUND

I. Factual Allegations

COSCO spills a great deal of ink in describing what it alleges to be the facts of the case, most of which is of little or no use in discerning whether those facts state a plausible claim for relief. As opposed to COSCO’s recitation of largely irrelevant facts or unsupported allegations, SDS will limit its discussion to actual factual allegations.

The RFQs and Service Contracts speak for themselves. And the sequence of events in this matter is straightforward. SEC and COSCO allegedly negotiated service contracts in 2021 and 2022 (TPC ¶¶ 9–11). After negotiations certain service contracts were allegedly signed by SDS and Logitech (TPC ¶¶ 13–19). Under the terms of the alleged service contracts, goods transported by COSCO were consigned to SEA (TPC ¶ 21). Certain charges incurred in the United States for demurrage, detention and other costs were assessed by COSCO and paid by SEA albeit SEA declined to pay certain invoices (TPC ¶¶ 49 - 53).³ Beginning in 2022, SEA complained to COSCO of overcharges. Communications were exchanged back and forth between COSCO and

³ COSCO cites *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services, Ltd.*, Dkt. 22-30, Doc. No. 60 (ALJ, Initial Decision Apr. 22, 2025) and *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. 23-01, Doc. No. 148 (ALJ, Initial Decision May 28, 2025) in support of the plausibility of its allegations in “light of findings that Samsung entity SEA was responsible for charges incurred on shipments by other carriers.” (COSCO Opp. at 6 n.3). However, what COSCO does not mention are the respective ALJs’ findings that engaging the CNTs in those matters were the responsibility of the ocean carriers: “Under store-door terms...the ocean common carrier is responsible for the inland movement of the shipped containers...” *ZIM*, Doc. No. 60 at 13 (FF #24); and “A house trucker is hired by the steamship line. A CNT is similar in that it is contracted, paid and receives work orders from the steamship line...” *SM Line*, Doc. 148 at 17 (FF # 33). In any event, COSCO’s recitation of its view of the terms of the alleged service contracts and the events leading to SEA’s complaint in this matter has no apparent connection to the “concealment” accusations leveled at SDS.

SEA to no avail (*Id.*) and in 2024 SEA filed the action herein against COSCO. In response, COSCO filed its Counterclaim against SEA and the Third-Party Complaint against SEC, SDS and Logitech.

II. Conclusory and Absent Allegations

COSCO has failed to plead sufficient factual allegations to state a claim against SDS; its Opposition to the Motion to Dismiss does not cure that deficiency. COSCO's allegation that SDS is liable for a violation of 46 U.S.C. § 41102(a) rests entirely on non-specific and wholly unsupported allegations that "the Samsung entities...carried out their scheme in tandem." (COSCO Opp. at 7.) In a significant aspect, COSCO's position has shifted. In the Third-Party Complaint, COSCO alleged only that SDS was "instructed to enter into" the alleged service contracts after negotiations had concluded (TPC ¶ 13). In its Opposition, COSCO now recasts SDS as "an integral part of the group's scheme to obtain rates and charges," and "participated in negotiating the [alleged service] contracts" (COSCO Opp. at 1 and 22): such inconsistency underscores the speculative and unreliable nature of COSCO's allegations. And while COSCO now claims that SDS itself benefited from this "scheme" (COSCO Opp. at 24), COSCO still does not offer any facts, other than its conclusory statements. Repetition does not cure a deficient pleading.

In short, COSCO's opposition does not do anything (and cannot do anything) to cure the deficiencies of the Third-Party Complaint; it simply repeats and expands upon conclusory allegations. "Rather the inquiry is whether the allegations in the ***Complaint*** plausibly state a claim for relief." *Hicks v. Department of Public Safety and Corrections*, 595 F. Supp. 3d 463, 470 (M.D. La. 2022), *aff'd in part and dismissed in part on other grounds sub nom.*, *Hicks v. LeBlanc*, 81

F.4th 497 (5th Cir. 2023)(emphasis in original); *see also Hurst v. District of Columbia*, 681 F. App'x. 186, 194 (4th Cir. 2017) (“a plaintiff may not amend her complaint via briefing”).

While COSCO assures that all will be sorted out and made clear in discovery (COSCO Opp. at 7), COSCO overlooks the inconvenient principle that it cannot look to discovery to perfect its Third-Party Complaint. Pleading standards apply *before* discovery begins. “Discovery should *follow* the filing of a well-pleaded complaint. It is not a device to enable a plaintiff to make a case when his complaint has failed to state a claim.” *Kaylor v. Fields*, 661 F.2d 1177, 1184 (8th Cir. 1981) (emphasis added). *See also Johnson v. BOKF National Association*, 15 F.4th 356, 365 (5th Cir. 2021)(plaintiff “failed to ‘state a claim to relief that is plausible on its face.’ *Twombly*, 550 U.S. at 570...‘Because [her] complaint is deficient under Rule 8, [s]he is not entitled to discovery, cabined or otherwise.’” (quoting *Jackson v. City of Hearne*, 959 F.3d 195, 202 (5th Cir. 2020))(other citation omitted).

ARGUMENT

I. Introduction

COSCO is mistaken when it asserts that SDS relies exclusively on Fed. R. Civ. P. 9(b) to support its motion (COSCO Opp. 8 and 20). In fact, there are many eggs in SDS’ basket. (SDS Mot. 5-11; 18-19).

II. The Third-Party Complaint’s Allegations concerning a Shipping Act Violation are Not Plausible

SDS agrees with COSCO that the allegations in the Third-Party Complaint are to be evaluated in accordance with *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009) and their progeny. (SDS Mot. at 6; COSCO Opp. at 9).

Despite COSCO's attempt to meet the required pleading standards, SDS submits that the Third-Party Complaint's allegations concerning SDS' purported violations of the Shipping Act fail to meet established requirements: "The pleading standard Rule 8 announces does not require 'detailed factual allegations,' but it demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation." *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). Moreover, *Iqbal* makes clear that COSCO's Third-Party Complaint – which alleges nothing more than "'labels and conclusions'" and "'naked assertion[s]' devoid of 'further factual enhancement'" – fails to state a claim under the Shipping Act. *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555, 557).

In attempting to justify a complaint that fails to offer any factual basis for the conclusory allegation of a Shipping Act violation, COSCO does not address the fundamental principle that the *Iqbal/Twombly* pleading standards "imposes legal *and* factual demands on authors of complaints." *16630 Southfield Ltd. P'ship v. Flagstar Bank, F.S.B.*, 727 F.3d 502, 503 (6th Cir. 2013)(emphasis in original). As also noted in *16630 Southfield*, the pleading requirements set out in *Iqbal* and *Twombly* "do not exist for their own sake. Discovery imposes costs – not only on defendants but also on courts and society." *Id.* at 504. As stated in *Twombly*, "'a district court must retain the power to insist upon some specificity in pleading before allowing a potentially massive factual controversy to proceed.'" 550 U.S. at 558 (quoting *Associated Gen. Contractors of Cal., Inc. v. Carpenters*, 459 U.S. 519, 528 n. 17 (1983)). The Presiding Officer should similarly act as a gatekeeper to put a stop to COSCO's improper attempt to bring SDS (as well as SEC and Logitech) into this FMC proceeding.

At the end of the day, COSCO is required "to allege facts that make its claims plausible, which necessarily requires factual allegations involving some combination of the who, what, when,

where, and how of Shipping Act violations.” *Maier Terminals, LLC v. the Port Authority of New York and New Jersey*, Dkt. No. 12-02, 2015 WL 9426189, *14 (FMC Dec. 18, 2015).

Here, COSCO offers nothing other than a freestanding and unsupported accusation that SDS (acting in concert with SEA, SEC and Logitech) engaged in a nefarious plot to conceal their intent to later dishonor the terms of the alleged service contracts. That is it. Such unsupported allegations should not be allowed to proceed.

III. Fed. R. Civ. P. 9(b)

The sketchy allegations of COSCO’s Third-Party Complaint, and the claims it makes in its Opposition, sound in fraud – concealment, refusal to provide information, refusal to pay, refusal to accept responsibility – all in bad faith and through fraud or concealment (TPC ¶¶ 52-58, 65-67). Accordingly, SDS asserts that the Third-Party Complaint should be subject to the heightened pleading requirements of Fed. R. Civ. P. 9(b). Rule 9(b) which provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.”

In its Opposition, COSCO argues that the heightened pleading requirement of Fed. R. Civ. P. 9 (b) does not apply in FMC cases (COSCO Opp. 18-20), and states that “the Commission has expressly and repeatedly rejected application of Fed. R. Civ. 9(b) to claims under § 41102(a),” citing, *inter alia*, the Commission’s 1993 decision not to add such a requirement to its pleading rules. COSCO further asserts that this decision was recently reaffirmed by the Commission in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff’d in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025).

SDS is well aware of the precedent addressing this issue and has set out in detail the reasons that the 1993 direction as well as decisions such as *Mitsui O.S.K. Lines Ltd. v. Global Link*

Logistics, Inc., Dkt. No. 09-01, 2011 WL 7144008 (FMC Aug. 1, 2011) should be reexamined (SDS Mot. at 7-11).

While SDS recognizes that the Presiding Officer is constrained by FMC precedent, it would be appropriate, just as Commissioner Khouri did in *Mitsui*, for the Presiding Officer to address the imperative need for the Commission to take a fresh look at the application of Fed. R. Civ. P. 9(b) in FMC proceedings.

IV. COSCO's Allegations Fail to Meet the Commission's General Pleading Standard

In any event, the Third-Party Complaint fails to meet the Commission's general pleading standard under Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform SDS with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

COSCO states in its opposition that it has adequately alleged each of the elements required by the statute. But it has not done so in its *Third-Party Complaint*. To wit: it has alleged that SDS is a person, (TPC ¶ 8). It is alleged that SDS signed certain service contracts. (TPC ¶¶ 13 and 16). It has alleged that "third-party respondents and SEA were aware or should have been aware" of the terms of the alleged service contracts. (TPC ¶ 45).⁴

A. COSCO Does Not Allege Knowing and Willful Conduct by SDS

As noted in SDS's Motion to Dismiss, COSCO utterly failed to properly allege Section 41102(a)'s first element—knowing and willful conduct—as against SDS (SDS Mot. at 14).

COSCO now claims that each reference to the Third-Party Respondents refers to SDS and

⁴ For the purposes of the Motion to Dismiss, SDS acknowledges that the Presiding Officer must accept COSCO's factual allegations as true. *See Maher Terminals, LLC*, 2015 WL 9426189 at *12 (in the context of a Fed. R. Civ. P. 12(b)(6) motion, "[T]he Commission must accept as true all factual allegations and construe them in the light most favorable to the complainant."). That said, if this matter proceeds, SDS intends to vigorously contest the validity of COSCO's factual allegations.

Logitech and SEA (COSCO Opp. at 21). Even so, there are no factual allegations, merely conclusory statements, regarding the allegedly knowing and willful conduct, and the Presiding Officer need not accept these unsupported statements as true.

There are no factual allegations in the Third-Party Complaint which serve to establish SDS's state of mind or intent at the time it allegedly signed the service contracts, merely an attempt to say that because SEA later disputed certain charges and refused to pay certain invoices, SDS must have (secretly) disagreed with the terms of the alleged service contracts *ab initio*. Such circular and illogical thinking has no place in a "well-plead" complaint.

B. COSCO Does Not Adequately Allege False or Fraudulent Conduct by SDS

COSCO makes the conclusory allegations that SDS as well as the other Third-Party Respondents employed an "unjust or unfair device or means." (TPC ¶¶ 65-66.) But there is nothing in the Third-Party Complaint detailed or informative enough to state an actionable claim against SDS (let alone SEA, SEC or Logitech).

In its brief, COSCO cites *Hohenberg Brothers Co. v. FMC*, 316 F. 2d. 381 (D.C. Cir. 1963) as "on all fours" and standing for the proposition that "a party's attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or means within the meaning of 46 U.S.C. § 41102(a)." (COSCO Opp. at 12.) But such a comparison is inapt. Hohenberg's demands for refunds were part and parcel of extensive illegal conduct involving deliberately mislabeled cargo, the connivance of the shipper and attempts to hoodwink shipping inspectors, all subsequently undone by Congressional investigation.

Here, it is clear that SEA and COSCO disagreed over charges assessed during the terms of the alleged service contracts. But disagreement over charges and subsequent demands for refunds or withholding of payments, are contractual disputes, and SEA had every right to try and reach a

resolution of such disputes before filing its complaint. COSCO says SEA (and the Third-Party Respondents) failed to pay certain charges and demanded refunds of others – and from this, would ask the ALJ to infer bad faith. But, “[i]n the absence of *evidence* of bad faith or deceit, the Federal Maritime Commission will not infer an ‘unjust or unfair device or means’ from the failure of a shipper to pay ocean freight....[A] complaining carrier must show something more than a mere stubborn but good-faith refusal to pay a disputed rate or charge or a refusal to pay based on honest differences.” *ShipCo Transport Inc. v. Saturn Air Sea Cargo*, Dkt No. 95-07, 1995 WL 348131, *3 (ALJ Jun. 2, 1995)(citation omitted)(emphasis added).⁵ Merely adding the phrase “in bad faith” to an allegation stemming from a dispute over contract terms does not make it so.

V. A Breach of Contract Claim Cannot *Ipso Facto* be Transformed into a Shipping Act Violation

As presented in its Motion to Dismiss, SDS asserts that facts alleged by COSCO concerning a breach of the alleged service contracts do not give rise to a conclusion that the alleged breaching party did not intend to perform the contract *ab initio*. (SDS Mot. at 12-14.) Yet this inference is precisely the basis of COSCO’s Shipping Act violation claims lodged against SDS (as well as SEA, SEC and Logitech).

⁵ COSCO’s reliance on *Tropical Shipping & Construction Co, v. Valley Wide Produce, Inc.*, Dkt. No. 93-05, 1993 WL 285897, *1-2 (ALJ Jul. 20, 1993) is misplaced. There, the shipper ran up unpaid charges. Then, it apparently convinced the same carrier to enter into a credit agreement, promising to pay the arrears. In what should have been no surprise, the shipper reneged on its promises and failed to pay yet more charges. The shipper then failed to respond to the carrier’s FMC complaint and ignored the whole proceeding, resulting in default (which was tantamount an admission of liability). In contrast, while there is no allegation in the Third-Party Complaint concerning the subject of freight payments, given the volume of containers evidently carried by COSCO, it only seems logical to assume that substantial freight payments were made to COSCO in addition to the substantial payments for detention, demurrage and other charges paid by SEA.

COSCO has not directly addressed SDS' position but instead simply cites authority for the established and undoubted principle that the Commission has authority and jurisdiction to adjudicate claims for the violation of the Shipping Act even though breach of contract claims may also be present (and subject to separate adjudication). (COSCO Opp. at 23).

It is common ground that where the factual allegations only relate to a breach of contract claim, the Commission is without subject matter jurisdiction. *See, e.g., DnB Exps. LLC v. Barson Glob. Lojistik*s, Dkt. No. 11-07, 2011 WL 7144017, *5 (FMC Jul. 7, 2011)(dismissing breach of contract counterclaim where complainants “d[id not allege a violation of the Shipping Act...). Subject matter jurisdiction is not at issue in the present matter, as COSCO has alleged an (unsupported) violation of the Shipping Act. Instead, the focus must necessarily be on what *facts* have been alleged as “[T]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the *facts* alleged may give rise to both breach of contract claims and Shipping Act claims.” *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. 21-05, 2023 WL 9604492, *13 (ALJ, Jan. 13, 2023)(quoting *Anchor Shipping Co. v. Aliañq Navegãqo e Logística Ltda.*, Dkt. No. 02-04, 30 S.S.R. 991, 998 (FMC 2006))(emphasis added).

SDS respectfully submits that the only *facts* alleged by COSCO relate solely to breach of contract claims. The allegations concerning a joint effort by SDS, SEA, SEC and Logitech to “conceal” their collective intent not to perform the alleged service contracts (prior to the execution of those contracts) are but conclusory allegations. As discussed in detail in SDS' Motion to Dismiss, factual allegations of a breach of contract cannot be used to retroactively conjure up a fraudulent intent at the time of the contract's execution. Simply put, the Presiding Officer should reject COSCO's desperate attempt to create from thin air a Shipping Act violation.

VI. COSCO's Unfounded Allegation of Conspiracy

Although COSCO does not use the word in the Third-Party Complaint, COSCO now accuses SDS (as well as SEA, SEC and Logitech) of participating in a conspiracy:

[T]he Samsung entities conspired to obtain or attempt to obtain ocean transportation at less than applicable **charges** – in this case mainly detention and demurrage charges – by falsely representing themselves as willing to take responsibility for such charges, then refusing to do so.

COSCO Opp. at 8 (emphasis in original).

However, COSCO alleges not a single *fact* to support this supposed sophisticated and wide-ranging arrangement among SDS, SEC, Logitech and SEA to violate the Shipping Act which, SDS submits, is fatal to the viability of the Third-Party Complaint.

It should be recalled that at the heart of *Twombly* was an allegation of a conspiracy in violation of the Sherman Act, 15 U.S.C. § 1. 550 U.S. at 548. In determining the plausibility of the allegations, the Supreme Court necessarily had to consider the pleadings in the context of an allegation of conspiracy: “It makes sense to say, therefore, that an allegation of parallel conduct and a bare assertion of conspiracy will not suffice. Without more, parallel conduct does not suggest conspiracy, and a conclusory allegation of agreement at some unidentified point does not supply facts adequate to show illegality.” *Id.* at 556-57. Similarly:

‘We must judge the sufficiency of the complaint by the facts alleged and not by the pleader’s conclusions....The repeated words combined, conspired, and agreed together to injure [Plaintiffs]...are insufficient.’

....

Moreover, Plaintiffs failed to allege any specific factual allegations about the purported conspiracy. Plaintiffs’ complaint is devoid of any *factual* allegations regarding a meeting or agreement between all Defendants. While Plaintiffs pleaded all Defendants ‘reached an agreement,’ and “agreed to gather information,’ such claims constitute mere conclusions regarding an alleged agreement...The complaint is devoid of any factual allegations regarding how or when all Defendants reached such an agreement.

Fox v. The City of Greensboro, 279 N.C. App. 301, 322, 866 S.E.2d 270 (N.C. Court of Appeals 2021)(quoting *Shope v. Boyer*, 268 N.C. 401, 405, 150 S.E.2d 771 (N.C. 1966))(emphasis added). While *Fox* and *Shope* were construing North Carolina law, the precepts stated apply with equal force here. See also *Stillwagon v. The City of Delaware*, 175 F. Supp. 3d 874, 902 (S.D. Ohio 2016)(in 42 U.S.C. § 1983 action alleging a conspiracy: “Vague and conclusory allegations unsupported by material facts are insufficient to state a claim.”).

The only factual allegations made by COSCO relate to the disputes between COSCO and SEA: notwithstanding COSCO’s repeated statements, there are no factual allegations supporting a legitimate claim of the existence of a conspiracy. The Presiding Officer should summarily reject COSCO’s effort to conjure a conspiracy from its groundless allegations.

VII. Leave to Amend should be Denied

As a final matter, COSCO asserts that if the Presiding Officer finds its complaint to be deficient, it is “necessary” to allow COSCO an opportunity to amend its Third-Party Complaint and refers to SEA being allowed to amend its Complaint in this matter (COSCO Opp. at 25).

COSCO is mistaken. While leave to amend pleadings may be routinely granted, it is neither “necessary” nor required. Such leave is denied particularly in cases of bad faith, or where amendment would be futile or would cause undue delay. See, e.g., *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Dkt. No. 14-04, 2014 WL 5824274, *9 (ALJ Nov. 6, 2014) (“when a complaint is dismissed for failure to state a claim, leave to amend need not be given if amendment would be futile.”); *Leonelli v. Pennwalt Corp.*, 887 F.2d 1195, 1198 (2d Cir. 1989)(leave to amend “will be denied when an amendment is offered in bad faith, would cause undue delay or prejudice or would be futile.”).

Concerning futility, COSCO’s Third-Party Complaint against SDS, for the reasons stated

above, lacks any cognizable factual or legal basis. Further, it is clear from the Opposition to the Motion that COSCO cannot add any substance to the deficient Third-Party Complaint, highlighted by the example of COSCO's shifting theories, i.e., SDS as a mere signatory (Third-Party Complaint) to playing an "integral" role in the supposed Samsung conspiracy (Opposition). Such maneuvering establishes the paucity of its pleadings; thus, amendment would be futile.

COSCO infers that deficiencies in its pleading may be cured through discovery (*supra* at 4); such a statement indicates that COSCO has little confidence that an amended Third-Party Complaint will cure its defects. Moreover, it is appropriate for Presiding Officer to consider whether the motivation for filing the Third-Party Complaint had another purpose, such as to seek discovery from SDS (and SEC and Logitech) as a party as opposed to needing to obtain discovery from a non-party, non-U.S. entity under the appropriate procedural devices.

Recently, allegations nearly identical in substance to COSCO's claims were dismissed as a matter of law in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025). OOCL's counterclaim, in part, was predicated on the same § 41102(a) theory posited by COSCO here. The Presiding Officer issued an Order Granting Complainant's Motion to Dismiss Respondent's Counterclaim, dismissing OOCL's counterclaim with prejudice.

The Commission has recently affirmed the Presiding Officer's dismissal of OOCL's counterclaim against SEA, albeit the Commission has remanded the matter to allow OOCL "at least one chance to allege a plausible claim..." (Doc. 66 at 20).

In affirming the Presiding Officer's decision, the Commission also found that the allegations of deception and concealment asserted against SEA in the OOCL counterclaim were insufficient:

As noted above, the counterclaim does include factual allegations as to the making, content, and performance of the service contracts; it describes an alleged October 2022 ‘demand’ by SEA that OOCL refund different types of late fees; it describes later interactions between the parties about such refunds; and it asserts that SEA’s demand for refunds and its pursuit of this case seeking such a remedy violates section 41102(a)...***But none of that alleges a plot to lower rates by secretly harboring and later acting on erroneous views about who was responsible for the type of delays at issue.***

Id. at 17-18 (emphasis added). Further, the Commission was doubtful that even if OOCL made additional allegations concerning SEA’s alleged concealment, such would not necessarily state a viable claim:

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an ‘unfair device’ under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo...

Here, OOCL’s brief appears to be alleging that SEA had a secret plan to get lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the incorrect claim that OOCL was responsible for the delays. Even that scenario seems less like the kind of fact-based fraud or concealment seen in successful cases and more akin to a disagreement about legal matters, which is not sufficient to support a section 41102(a) claim.

Id. at 18-19.

Given that there are even fewer, and even more speculative, allegations made here against SDS, the futility of COSCO’s § 41102(a) Third-Party Complaint against SDS is inescapable as a matter of law and leave to amend should be denied.

CONCLUSION

Given the failure to plead a plausible or actionable claim under the Shipping Act, the Third-Party Complaint should be dismissed.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(6), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondent SDS respectfully moves for an Order:

1. Dismissing with prejudice COSCO's Third-Party Complaint in its entirety; and,
2. Granting SDS all such other and further relief as may be just and proper.

Dated: August 26, 2025

Respectfully submitted,

HOHENSTEIN & PARKINSON, LLP

By: /s/ James H. Hohenstein

James H. Hohenstein

385 South End Avenue, #5K

New York, NY 10280

Telephone: (917) 873-2528

jim.hohenstein@hplawnyc.com

Counsel to Samsung SDS Asia Pacific Pte Ltd., s/h/a Samsung SDS Global SCL Asia Pacific PTE Ltd.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Linda S. Harris Crovella – *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. Holland & Knight LLP
Counsel for Complainant
 - a. Christopher R. Nolan
chris.nolan@hklaw.com
 - b. Gerald A. Morrissey III
gerald.morrissey@hklaw.com
 - c. Kristine O. Little
kristine.little@hklaw.com
 - d. Allison N. Skopec
allison.skopec@hklaw.com
4. Jeffrey/Fenneman Law + Strategy, PLLC
Counsel for Respondent and Third-Party Complainant
 - a. Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
 - b. Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
 - c. Kaya Massey
KMassey@JeffreyFenneman.com
 - d. Nicholas Webb
NWebb@JeffreyFenneman.com
5. Nixon Peabody LLP
Counsel for Respondent and Third-Party Complainant
 - a. Brian J. Whittaker
bwhittaker@nixonpeabody.com
 - b. Gordon L. Lang
glang@nixonpeabody.com
 - c. Martha A. Medina
mmedina@nixonpeabody.com

Dated: August 26, 2025

By: /s/ James H. Hohenstein

James H. Hohenstein
Hohenstein & Parkinson, LLP

*Counsel to Samsung SDS Asia Pacific Pte
Ltd., s/h/a Samsung SDS Global SCL Asia
Pacific PTE Ltd.*